



\$2.33
trillion
the value of China's annual
manufacturing output in
2011—the largest in the world

KEY PRODUCTION FACTORS

To make products, businesses need several resources

- › **Capital** Money invested in business, including money spent on production tools, such as equipment, machinery, and buildings
- › **Land** Natural resources used to create goods and services—for example, physical land or extractable resources such as minerals, lumber, oil, or gas
- › **Labor** People employed in a business to produce the goods and services
- › **Enterprise** Entrepreneurs and/or leaders who bring the factors of production together to make the whole process happen

Secondary production

The manufacture and assembly of raw materials to turn them into a product or service; in this instance, canned beans

Tertiary production

Services that support the production and distribution of the baked beans, such as transportation, advertising, warehousing, and insurance

